

MUTUAL FUNDS

Mutual funds are one of the best savings tools for long-term goals such as retirement. This is because over the period, equities tend to give higher returns than other asset classes. Experts say for equity exposure, one should save through mutual funds in a systematic investment plan or SIP.

Apart from plain-vanilla products, there are also retirement-specific mutual fund schemes.

“Both solution-based products and the plain-vanilla ones have the same underlying assets. The only difference you can observe is the proportion of each asset class keeping different maturity periods in mind. Hence, investors must analyse the weightage of each asset class. Each investor can choose a suitable product depending on his risk appetite and time horizon,” says Jain.

only protects from the volatility of the stock market, but also helps in reaping tax benefits, especially if you are in the higher tax slabs. If you invest ₹20 lakh in an FD at 7 per cent interest rate per annum, your tax liability will be ₹42,000. However, if you invest in a debt mutual fund, and withdraw every quarter through SWP, the tax liability will come to around ₹1,730. One important point to note is that there is a tax exemption of ₹50,000 per annum for senior citizens under section 80TTB.

Chetanwala says, “Along with investing, it is equally important to create a proper portfolio for the withdrawal stage. For the post-retirement stage, it is a good strat-

plans, pension starts immediately without any waiting period. Annuity plans typically give 5-6 per cent return per annum. (See table *Best Annuity Plans*).

Vivek Jain, Head of Investments at Policybazaar.com, says, “The two most important things that one requires post retirement are the love and support of dear ones and a fixed regular income as a replacement of salary to take care of daily expenses. If you are someone who has already retired or is retiring soon, and want a regular and guaranteed income in your sunset years, investing your hard-earned money in a suitable annuity plan is the answer.”

“Under an annuity plan, you pay a lump sum in the accumulation

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“Retirement planning is always a long-term investment and it has to be looked at in two phases. First is the accumulation phase where you invest over the years to build the retirement corpus and the other is the withdrawal stage where you use the corpus post-retirement. Equity is the best asset class that can be used during the accumulation stage,” says Harshad Chetanwala, Co-founder, MyWealthGrowth.com.

“A young investor planning for retirement should invest in equity to build the corpus. It is applicable for all investors who want to start investing for retirement and have more than seven years to build it. Some allocation in debt can be considered in the form of EPF or PPF. Only equity-based investments are good enough to create a retirement corpus over the long term,” he adds.

Another advantage of investing in MFs is the regular stream of income you can create by transferring funds from equity to debt schemes with a systematic withdrawal plan as one nears retirement. This not

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egy to invest across equity, debt and even small savings schemes for your monthly withdrawal. The allocation of equity will reduce once you near retirement, but you will always have to retain some allocation irrespective of the age.”

PENSION PLANS

There are two types of pension plans—deferred and immediate. Deferred pension plans allow you to accumulate a corpus through regular premium or single premium payment over a policy term. Here, the annuity starts at a later stage as per the period chosen at the time of buying the policy. It may be between 1 and 10 years. After the completion of the tenure, the pension is provided to the insured. In immediate annuity

period and get regular payments as long as you live or for a pre-specified fixed period. Annuity plans are specifically designed to meet long-term retirement needs of people with a decent corpus for investment,” he adds.

Last but not least, Employees’ Provident Fund is an important spoke of the retirement wheel. The best advice is never to withdraw from EPF and let it grow to reap the benefits of compounding.

By accurately calculating your retirement needs after taking into account the inflation and not putting all eggs in one basket, chances are high that you would be able to fulfil all your retirement dreams quite comfortably. **BT**

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